

THE SECTION 16(2)(c) & NGTP LITIGATION CRISIS

A Formal Legal, Operational, and Algorithmic Problem Statement for Indian GST

Subject: Section 16(2)(c), Non-Genuine Taxpayer (NGTP) & DRC-01/07 Crisis	Jurisdiction: Central & State GST Authorities, High Courts, Supreme Court
Target Audience: CFOs, Tax Heads, Senior Advocates, Litigation Strategists	Solution Category: Deterministic Statutory Intelligence & Multi-Agent Verification

1. Executive Summary: The Macro Litigation Bottleneck

Under the Indian Goods and Services Tax (GST) regime, input tax credit (ITC) represents the fundamental vascular system preventing the cascading of taxes. However, since the rollout of automated scrutiny modules and pan-India drives against 'fake invoice syndicates', a systemic crisis has engulfed bona fide taxpayers across manufacturing, trading, and infrastructure sectors.

Tax authorities have issued hundreds of thousands of Show Cause Notices (Form GST DRC-01) and adjudication orders (Form GST DRC-07) mechanically disallowing ITC under Section 16(2)(c) of the CGST Act, 2017. These notices demand recovery of tax, mandatory interest under Section 50 (18% to 24%), and 100% penalties under Section 74, solely because the taxpayer's upstream suppliers either failed to remit tax into the government treasury, failed to file GSTR-3B returns, or were retrospectively flagged as 'Non-Genuine Taxpayers' (NGTP) by DGGI or state intelligence wings.

This dynamic has tied up over INR 75,000 Crores in disputed tax liabilities, strained corporate working capital, clogged appellate dockets, and created an acute commercial dilemma: businesses must either litigate through multi-year appellate cycles or yield to coercive recovery demands.

2. The Core Statutory & Constitutional Conflict

The crisis is rooted in an inherent architectural tension within the CGST Act, 2017, combined with asymmetric administrative enforcement:

A. Impossible Statutory Condition (Section 16(2)(c)): Section 16(2)(c) conditions the purchasing taxpayer's credit entitlement on the supplier actually depositing the tax into the government treasury. A purchasing recipient has full control over paying the invoice and tax to the supplier via banking channels, but possesses zero statutory or investigative machinery to compel the supplier to deposit those funds into the Government exchequer.

B. Asymmetry of Recovery Action: Rather than executing recovery proceedings, issuing summons under Section 70, or attaching bank accounts of the absconding supplier under Section 83, tax officers routinely target the compliant, registered, and easily accessible purchasing recipient.

C. The Doctrine of Impossibility (Lex Non Cogit Ad Impossibilia): The Supreme Court has repeatedly held (e.g. in *Arise India Ltd. v. Commissioner of Trade & Taxes* and *State of Karnataka v. Radha Krishan Industries*) that the law cannot compel a taxpayer to perform that which is impossible. Denying credit to a bona fide buyer who holds genuine tax invoices and made payments through banking channels violates Article 14 of the Constitution.

D. The Supreme Court's Binding Affirmation in Suncraft Energy: In *Suncraft Energy Pvt. Ltd.*, the Calcutta High Court ruled that recovery proceedings cannot be initiated against the purchasing recipient without first exhausting all statutory remedies against the selling dealer. The Hon'ble Supreme Court affirmed this standard on December 14, 2023, by dismissing the Revenue's SLP (C) No. 27927/2023. Under Article 141 of the Constitution, this principle is binding on all adjudicating authorities throughout India.

E. Retroactive Misapplication of Section 16(2)(aa): Adjudicating officers frequently apply the mandatory GSTR-2B matching condition retrospectively to FY 2017-18, 2018-19, and 2019-20, disregarding the fact that Section 16(2)(aa) came into force prospectively on 01.01.2022 and that CBIC Circular No. 183/15/2022-GST provides safe-harbor protection.

3. Operational & Evidentiary Bottlenecks in Tax Practice

Despite overwhelming judicial precedents favoring bona fide buyers, over 65% of replies and first appeals fail at the initial adjudication stage due to severe evidentiary and drafting bottlenecks:

- 1. Massive Evidentiary Audit Burden (15-20 Hours per Notice):** A typical SCN involves hundreds of line-item invoice mismatches across multiple suppliers. Manually cross-referencing invoice dates, bank RTGS transaction reference numbers (UTR), E-Way bill transit records, transporter bilties, and stock registers requires an enormous investment of skilled manual labor.
- 2. Catastrophic Drafting Traps:** Tax practitioners frequently commit fatal drafting errors in Form GST DRC-06 replies or APL-01 appeal memos: (a) Inadvertently conceding that the supplier did not remit tax; (b) Failing to expressly plead the doctrine of impossibility under Article 14; (c) Failing to invoke binding CBIC circulars (Circular 183/15/2022-GST & Circular 237/31/2024-GST); (d) Forgetting to pray for consequential waiver of Section 50 interest and Section 73/74 penalties.
- 3. Subjective & Fabricated Advice:** Legal counsels often rely on general sentiment or outdated citations, failing to account for bench compositions (Supreme Court Division Bench vs. High Court Single Judge) or adverse distinguishing rulings (e.g. *Aastha Enterprises* where bank payment was absent).
- 4. Complete Absence of Objective Viability Scoring:** Corporate leadership has no quantitative basis to evaluate litigation viability. They cannot distinguish between a matter with a 95% probability of success versus a fragile matter vulnerable to bank attachment under Section 83.

4. The Engineering & Algorithmic Solution: NGTP Litigation Engine

To resolve this systemic crisis, the NGTP Litigation Intelligence Engine combines deterministic statutory evaluation with continuous real-time judicial intelligence. Built specifically for tax litigation teams, corporate tax directors, and senior counsel, the engine delivers:

- **Autonomous 13-Step Verification Pipeline:** Replaces 20 hours of manual legal research with a 1.5-second automated background audit across facts, statutory parameters (P1 to P8), lower authority errors, and drafting traps.
- **Article 141 Judicial Hierarchy & Conflict Resolution Engine:** Scores precedent strength from 0 to 100 based on bench composition, automatically resolving competing rulings (e.g. Supreme Court affirmed *Suncraft* overriding conflicting single-bench orders).
- **Reverse-Engineered Court Evidentiary Calibration:** Dynamically parses real High Court judgments to determine what physical documents judges demanded to grant relief (FASTag toll logs, weighbridge slips, ledger accounts) and updates evidentiary weights in real time.
- **Adversarial War-Room Red-Team Engine:** Role-plays as Revenue Standing Counsel to stress-test taxpayer submissions against the toughest counter-arguments, identifying vulnerabilities before filing.
- **Quantitative Litigation Readiness & Viability Scores (0-100):** Delivers objective, reproducible mathematical scores grounded in first-principles evidentiary compliance, preventing ill-advised litigation.
- **Structured Court-Ready IRAC Dossier Generation:** Generates professional, ready-to-file appeal briefs formatted with formal IRAC grounds, evidentiary concordance tables, and oral argument notes.

5. Measurable Value Realization & Target Metrics

Litigation Dimension	Traditional Manual Workflow	NGTP Intelligence Engine	Net Impact
Turnaround Time per SCN	15 to 25 hours of manual lawyer drafting	Under 2 minutes automated ingestion & audit	95% reduction in cycle time
Evidentiary Cross-Check	Sample checking of invoices and bank statements	100% line-item timeline & contradiction audit	Zero undetected evidentiary gaps
Precedent Authority	Static, generic case law often distinguished by judge	Article 141 hierarchical scoring with conflict resolution	Supreme Court binding certainty
Drafting Flaws & Omissions	High rate of fatal concessions & missing prayers	Automated pleading defect & trap detection	100% procedural compliance
Decision Certainty	Subjective 'lawyer's intuition' without data	0-100 Readiness & Viability quantitative scoring	Objective commercial decisions

6. Conclusion: Transforming Tax Defense into a Science

The Section 16(2)(c) litigation crisis cannot be resolved by manual research alone. By formalizing tax defense into an algorithmic discipline, the NGTP Litigation Intelligence Engine equips Indian businesses with the evidentiary rigor, statutory precision, and constitutional authority needed to defend bona fide transactions and secure commercial certainty.